

Overview & Scrutiny Committee

MINUTES of the OPEN section of the Overview & Scrutiny Committee held on Wednesday 7 January 2026 at 6.30 pm at Ground Floor Meeting Room G02A - 160 Tooley Street, London SE1 2QH

PRESENT: Councillor Ian Wingfield (Chair)
Councillor Irina Von Wiese (Vice-Chair)
Councillor Cassandra Brown
Councillor Victor Chamberlain
Councillor Laura Johnson
Councillor Richard Leeming
Councillor Jason Ochere
Councillor Bethan Roberts
Councillor Martin Seaton

**OTHER
MEMBERS
PRESENT:**

**OFFICER
SUPPORT:** Amit Alva, Scrutiny Officer

1. APOLOGIES

Apologies for absence were received from Councillor Suzanne Abachor, Councillor Esme Hicks and co-opted member Claire Williams.

2. NOTIFICATION OF ANY ITEMS OF BUSINESS WHICH THE CHAIR DEEMS URGENT

There were no items of business which the Chair deemed urgent.

The committee noted that:

- Item 5 – Council Delivery Performance Plan – had been deferred to the meeting on 20 January 2026 to allow time for the Cabinet Member and chief officer sign-off.

- A Supplemental Agenda No. 1 had been published containing three reports:
 - Local Government Finance Settlement and Budget;
 - Community Review Panel – Old Kent Road Regeneration;
 - Rail Infrastructure – Community Infrastructure Levy (CIL) investment at train and tube stations.

3. DISCLOSURE OF INTERESTS AND DISPENSATIONS

There were no disclosures of interests or dispensations.

4. MINUTES

The Chair noted that the minutes of the meeting held on 11 December 2025 would be presented to the committee's next ordinary meeting on 12 February 2026.

5. COUNCIL DELIVERY PLAN PERFORMANCE

This item was deferred to the OSC meeting on 20 January 2026.

6. BUDGET LOCAL GOVERNMENT SETTLEMENT

The committee received a report and verbal update on the provisional Local Government Finance Settlement and its implications for the council's budget and Medium-Term Financial Strategy (MTFS), introduced by Clive Palfreyman, Strategic Director of Finance Resources.

Officers highlighted the following key points:

- Context and scale of the challenge
 - Following pre-settlement projections reported to Cabinet and OSC in December 2025, the provisional settlement confirmed a significant medium-term funding gap driven by the Fair Funding Review, inflation, growth in demand and government expectations on council tax.
 - Updated analysis indicates an estimated £85m budget gap over the period to 2030, within a range previously set out of £70m–£90m.
- Core spending power and government messaging
 - National commentary suggested that Southwark Council would see a £38m increase in "core spending power", but this figure spans several years and includes funding already received in the current year.
 - After accounting for inflation, demand and previously agreed plans, the settlement leaves the council facing a material real-terms funding

shortfall, not a windfall.

- Comparison with previous austerity period
 - The scale of funding reduction since 2010 and the cumulative savings already delivered mean that, although the cash reductions are comparable to earlier austerity years, the council is now starting from a much more efficient baseline, with “low-hanging fruit” largely exhausted.
- Medium-term approach
 - No additional late savings are being proposed for the February 2026 budget; the current MTFS and decisions taken at Council Assembly in 2024 and 2025 largely underpin the 2026/27 budget proposals.
 - Officers intend to develop a three-year budget programme towards a potentially more difficult budget in February 2027, to allow more strategic and transformational changes rather than repeated small, annual reductions.
- Council tax assumptions
 - The government’s modelling assumes that councils will increase council tax by the maximum 4.99% in each year and achieve a national average collection rate.
 - The settlement also assumes strong council tax base growth (new homes) in 2026/27 and 2027/28, with government projections showing additional income of £10m, £11m and £12m in those years – considerably above the historic trend.
 - The council has taken a more cautious view of council tax growth given signs of a slowdown in the housing market and updated council tax base figures agreed by Cabinet. A collection rate of 96.5% has been assumed, consistent with recent performance and average for London, but below collection rates in some areas.
- Other funding streams and consolidation
 - A slide previously presented to OSC set out which specific grants have been rolled into the new fair funding total and which remain separate. The settlement continues the move towards consolidating multiple grants into a single core funding stream, which the sector has long requested to improve certainty, though the overall quantum is insufficient.
- Transformation and technology
 - Officers reiterated that delivering the required savings will rely heavily on service transformation, digital innovation and partnership working, not just traditional “cuts”.
 - Examples include:
 - The Enterprise Resource Programme, replacing the current finance ledger and HR system first implemented in 1999, expected to modernise processes, reduce manual work and enable staff to focus on higher-value activity.
 - Major programmes on the commercial and office estate, third-party spend and income generation, with further details due at the forthcoming daytime budget sessions.

The committee then asked questions on the following themes:

- Comparison of the current position with the 2010–2015 austerity period and whether similar levels of service reductions may be required.
- The realism of finding £80m–£90m savings when many efficiencies have already been taken and the implications for staffing, service levels and outsourcing.
- The role of partnership working, particularly with health partners through the Southwark Partnership, in improving outcomes and efficiency at a time when NHS organisations are themselves under pressure.
- The scope and limits of using technology and AI to reduce costs and manage demand while maintaining in-person services where needed.
- The accuracy of media reporting on a “£38m boost” to Southwark’s funding and how the council will communicate the true position and difficult choices to residents.
- The treatment of other grant streams in the settlement (inside or outside fair funding) and impacts on specific programmes.
- The prudence of the council’s council tax growth assumptions versus more optimistic government projections and how changes in the housing market and population movement are being reflected.
- Council tax collection rates, historic performance and further scope to improve collection.

In response, officers advised:

- The overall scale of the challenge is comparable to earlier austerity years, but the council’s starting point is different: substantial savings have already been delivered since 2010, leaving fewer straightforward options.
- While it is not appropriate to describe the position as a “black hole”, the council faces a serious medium-term funding gap which will require both cost reductions and income generation.
- Transformation is expected to include process modernisation (e.g. new Enterprise Resource Program (ERP) system), more integrated public service delivery across agencies, better use of data and AI to target early intervention and reduce demand, and closer corporate working on income and commercial opportunities. Specific service proposals will be developed by relevant departments and brought to members in due course.
- On communications, officers recognised the need to be open with residents about the scale of the challenge and the potential impact on services, building on lessons from previous austerity periods and using established tools such as equalities and quality impact assessments and targeted engagement with affected groups.
- Government assumptions on council tax growth are considered optimistic given the 4.99% cap, evidence of market slowdown and the practical limits on new home delivery. The council will continue to plan on more realistic income lines rather than setting budgets that would be difficult to deliver.
- Southwark’s council tax collection rate has improved and is now around

96.5%, average for London, though large urban authorities face structural challenges compared with shire districts. Further incremental improvement is being pursued.

The Chair thanked officers and noted that budget scrutiny would continue at the daytime OSC budget meetings later in January 2026.

7. COMMUNITY REVIEW PANEL - REGENERATION OLD KENT ROAD

The committee received a presentation from Tim Cutts, Head of Regeneration – Old Kent Road, and Colin Wilson, Assistant Director for Strategic Development, on regeneration progress along the Old Kent Road, the phasing of housing delivery and the operation of the Community Review Panel.

Officers highlighted:

- Scale and location of the opportunity area
 - The Old Kent Road Opportunity Area extends roughly from Bricklayers Arms roundabout to the borough boundary with Lewisham, and northwards to the railway viaduct at South Bermondsey.
- Housing delivery and affordable housing
 - Since around 2018, there has been a significant acceleration in construction, underpinned by the Old Kent Road Area Action Plan.
 - At present there are 3,258 homes under construction, of which approximately 1,980 (57%) are affordable, rising to around 60% if replacement social rent homes on estates such as Tustin and Library Estate are included.
 - Of the homes under construction:
 - 1,343 are social rented homes (including new council homes), representing 35.8% of total units.
 - 637 are intermediate homes (shared ownership, London Living Rent and discount market sale).
 - Recent acquisitions by housing associations have converted several schemes from 35% to 100% affordable, for example the former KFC and ALDI sites.
- Meeting housing need
 - Officers compared delivery against the social housing waiting list within the opportunity area, showing that in several bedroom sizes (1–3 beds) more than 30% of local need is being met through developments on the Old Kent Road, helping to address overcrowding.
- Phasing and transport capacity
 - Housing delivery is phased in relation to transport capacity:
 - Phase 1 allows up to 9,500 homes supported by bus improvements, walking and cycling enhancements. Developers contribute £2,700 per home towards public transport improvements.

- Phase 2 (a further c.10,500 homes) is contingent on the Bakerloo Line Extension (BLE) and controlled through Grampian conditions in Section 106 agreements.
 - To date, permissions for 9,480 homes have been granted, bringing Phase 1 close to its current cap.
- Examples of development
 - Major schemes such as Bermondsey Place, the Tustin Estate regeneration, Library Estate, 49–53 Glengall Road, 651 Old Kent Road and hexagon housing schemes were highlighted, with affordable housing proportions ranging from 40% to 100%.
 - New commercial and industrial space includes a multi-storey logistics and industrial building on Ilderton Road, and affordable workspace such as Loop Studio for local businesses.
- Parks, public realm and district heating
 - Significant investment is being made in parks and open spaces including Ruby Street Pocket Park, Pearl House Gardens, Pat Hicks Gardens, Bramcote Park, Burden Park BMX track, Leighton Square, Brimington Park, Demolition Street places, Tustin Common and Livesey Park on the former gasworks.
 - Proposals for Livesey Park include converting the listed gas holder and pond into an outdoor wild swimming facility with natural filtration and associated amenities, subject to business case and funding.
 - A new district heat network is being delivered in partnership with Veolia, with early phases connecting to the Tustin Estate. Excavation works uncovered the Roman road beneath Old Kent Road, widely reported in the media.
- Movement strategy and Bakerloo bus
 - A movement strategy is re-establishing connections north and south of Old Kent Road, including new routes for walking and cycling, such as a “leisure route” one block north of the main road from Ilderton Road towards St James’s Road.
 - The Bakerloo bus express service, part-funded through Section 106 contributions (c. £5m released), now links Waterloo–Elephant & Castle–Old Kent Road–New Cross–Lewisham. Feedback indicates fast journey times, with some concerns about distance to stops.
- Bakerloo Line Extension funding
 - A joint funding study with Transport for London (TfL), the GLA and Lewisham has explored how local taxation (CIL, business rates supplements and borough CIL contributions) could contribute up to around 60% of BLE costs, with government funding the remainder.
 - Southwark Council has agreed to allocate half of its strategic CIL to the BLE, with additional contribution from Mayoral CIL and business rates.
 - TfL is currently reviewing route options (terminating at Lewisham or extending to Hayes, and whether to phase the extension) and is progressing design and business case work ahead of a possible Transport and Works Act Order submission around 2028/29.
- Community Review Panel and 231 Old Kent Road

- The Community Review Panel was established in 2020 as a pilot for the Old Kent Road area, managed by Frame Projects and chaired independently.
- Panel members (around 15) are local residents, business and community representatives reflecting the diversity of the area; professionals such as architects are directed to other panels. The panel reviews schemes at pre-application stage, often more than once, allowing developers to demonstrate how feedback has shaped designs.
- Developers pay for the panel's costs, making the model largely self-financing. The panel has also been used to comment on strategies (e.g. linear park masterplan) and to help select design teams for council-led schemes.
- The panel meets at 231 Old Kent Road, a council-owned building managed by Southwark Young Advisors, which also host youth programmes and will operate a public exhibition space for information on regeneration.

The committee then asked questions on:

- The balance between Phase 1 and Phase 2 housing and whether Phase 2 homes could be released ahead of BLE construction, given borough-wide housing pressures.
- The risk that other projects, such as a proposed DLR extension across the river, could compete with BLE for funding and delay it significantly.
- The number and proportion of larger family homes (four-bedroom units), and how far current provision meets demand in the borough.
- The status and future of community use such as Jesus Sanctuary Ministries, displaced from the Ruby Triangle site, and how effectively the council's business relocation policies are working.
- How council tax and business rates growth from Old Kent Road developments feeds into the overall budget and whether it could offset pressure to increase council tax for existing residents.
- Road and cycling connections (e.g. between Glengall Road and Ossory Road) and the relationship with wider borough strategies such as Streets for People.

In response, officers advised:

- Phase 1 capacity is close to its 9,500-home ceiling. A review of the Southwark Plan and updated TfL transport modelling (including changes in bus patronage since 2016) will look at whether capacity can be flexibly increased, for example by re-examining areas originally counted within the cap and consents that have expired or are unlikely to be built out.
- BLE remains one of three top strategic rail priorities for London (with the DLR extension across the river and the western extension to Heathrow), but the DLR scheme is funded through a separate national programme and should not directly displace BLE. Key decisions around BLE are expected

after 2028, in the context of a future government and the Transport and Works Act process.

- The proportion of four-bedroom units has increased from around 4% to 10% of affordable homes following feedback from ward members and the Community Review Panel, but officers acknowledged that demand for larger homes remains higher than current supply and that developer business models and costs make further increases challenging.
- In relation to Jesus Sanctuary Ministries, officers outlined that:
 - They had been provided with rent-free temporary accommodation for around four years, with the developer funding refurbishment of that space.
 - The council offered alternative premises in Peckham and explored sub-lets in other churches, but no agreement could be reached between the parties.
 - While planning policy aims to support relocation of community and faith uses, the council cannot compel private parties to enter into lease agreements. The developer has now executed an eviction, and officers were not aware of the group's current location.
- Business rates and council tax growth from Old Kent Road developments are integral to the borough's long-term funding strategy, including potential use in BLE funding packages. However, increased receipts are accompanied by increased service demand (schools, social care, etc.) and cannot on their own remove the need for savings or prevent council tax rises borough-wide.
- The cycling and walking network is being delivered incrementally, with the new Ilderton Road crossing and connections into parks being early phases; further links (including through/around private industrial estates and via Asda/Bermondsey Place) are under active discussion with landowners and developers.

The Chair thanked officers for a comprehensive update and welcomed the strong performance on affordable housing delivery in the opportunity area.

8. RAIL INFRASTRUCTURE - COMMUNITY INFRASTRUCTURE LEVY (CIL) INVESTMENT AT TRAIN/TUBE STATIONS

The committee received a presentation from Neil Kirby, Assistant Director of Sustainable Growth, on the borough's rail and underground stations and the use of strategic CIL to support accessibility, capacity and town centre regeneration.

Officers highlighted:

- Network overview and rationale for investment
 - There are 21 stations within or serving the borough, varying greatly in age, accessibility and condition. Many face challenges around step-free access, overcrowding and poor public realm.
 - Investment in stations supports multiple objectives: transport capacity, climate goals (modal shift from cars), town centre vitality

and safe, accessible journeys for all residents.

- Recent major investments
 - London Bridge: major Network Rail investment (c. £1bn) completed around 2018, transforming capacity and the local environment.
 - Blackfriars: c. £35m upgrade (completed 2012) including a new southern entrance and improved interchange with Bankside and the Tate.
 - Elephant & Castle (Northern Line): over £70m of Southwark strategic CIL has been invested in the new Northern line station box as part of the town centre redevelopment. TfL is now fitting out the station, with a work compound being established at the Faraday memorial.
 - Surrey Quays / Canada Water: new entrances, access and a footbridge delivered alongside Canada Water development, largely funded by Section 106 contributions.
 - Denmark Hill: a second entrance and accessibility improvements delivered (c. £7.5m) to relieve overcrowding and improve access to nearby hospitals, with completion in 2021.
- Current priorities and schemes in development
 - Peckham Rye:
 - Busiest transport interchange in the UK without level access; issues include overcrowding, lack of lifts and the condition of the historic building.
 - An “oven-ready” scheme with planning permission and listed building consent is in place but requires around £45m government funding. A bid was paused by government in late 2025, but Network Rail has now allocated £4m for interim works (additional barriers, safety measures).
 - The council is also delivering a new public square in front of the station, with demolition of fronting buildings due to commence.
 - Elephant & Castle (National Rail):
 - Current station is poor quality, with no barriers and very limited accessibility despite increased usage from Elephant Park and the new town centre.
 - A feasibility study funded by the council has produced a design for a fully accessible station integrated into the shopping centre redevelopment, costing around £25m. Network Rail is now preparing a business case; discussions continue on relative contributions from government/industry and the council.
 - Nunhead:
 - The council has funded Network Rail to carry out a feasibility study for accessibility improvements (including potential lift access), given that the station was a low national priority. A future cabinet bid for strategic CIL funding is anticipated to help deliver the scheme.
 - Southwark (Jubilee Line):
 - The over-station development (student accommodation and

new council homes) above the station is progressing with planning permission in place. Land value is being used to fund around 40 new council homes, rather than direct station investment; the station itself is not considered in need of major upgrade.

- South Bermondsey:
 - The station and surrounding public realm are in poor condition, with security and accessibility concerns, and will be increasingly important as Old Kent Road regeneration progresses.
 - The site is physically constrained by embankments and existing structures, limiting options. A new station at New Bermondsey in Lewisham may alter usage patterns. Officers are working with Network Rail to identify feasible improvement options and will brief local ward members as designs progress.
- Funding framework
 - Strategic CIL is the primary council funding source for station improvements, with past allocations to design work at Peckham Rye, Elephant & Castle and Nunhead, and to BLE development.
 - Cabinet has agreed a framework for prioritising and allocating strategic CIL to major infrastructure, including transport, with further reports to be brought as schemes mature.

The committee asked questions on:

- The apparent absence of schemes in the south of the borough (e.g. East Dulwich, North Dulwich, West Dulwich, Sydenham Hill), particularly around accessibility and crowding at North Dulwich where several secondary schools generate heavy peak-time demand.
- How feasibility studies for stations such as Nunhead and Elephant & Castle were funded, and whether a similar approach could be taken at North Dulwich.
- The timetable and funding certainty for completing the Northern line station at Elephant & Castle and whether there would be an accessible entrance from the shopping centre/railway arches side.
- London-wide poor performance on step-free access, and how quickly Elephant & Castle Overground and other stations would become fully accessible.
- The status and priority of South Bermondsey relative to nearby Lewisham schemes such as New Bermondsey, and opportunities for joint funding with Lewisham Council.

In response, officers advised:

- Accessibility is a borough-wide concern, and the number of potential schemes far exceeds current funding. Prioritisation to date has focused on stations with the greatest combination of usage, overcrowding, safety and strategic growth pressures, notably Peckham Rye and Elephant & Castle.

- The council has already funded feasibility work at Nunhead and Elephant & Castle Overground where Network Rail had no capacity to do so. Officers are open to developing a similar brief with Network Rail and operators for North Dulwich and then seeking cabinet approval for a strategic CIL contribution to feasibility, subject to resources.
- For Elephant & Castle (Northern Line), TfL has funding in place for fit-out of the new station box. A contractor compound is being established near the Faraday Monument and works are expected to proceed; the design includes an accessible entrance from the town centre side as well as the existing approaches.
- For Elephant & Castle (National Rail), the current design – funded at feasibility stage by the council – would deliver full accessibility, subject to funding from government/industry. Officers expect to have clearer costings and a proposed council contribution within the next six months.
- South Bermondsey is recognised by Network Rail and the council as a higher priority than Nunhead in terms of usage and station environment but lacks a developed design at this stage; officers will bring forward options and discuss with both South Bermondsey and Old Kent Road ward councillors and explore joint working with Lewisham once a scheme is clearer.

The Chair thanked officers for the update and noted the committee's strong interest in accessibility improvements across the borough's rail network.

9. WORK PROGRAMME 2025-26

The committee noted the work programme for the remainder of the 2025–26 municipal year, including:

- Two dedicated budget scrutiny sessions later in January; and
- An ordinary meeting scheduled in March 2026.

The Chair indicated that a reserve date in February had been retained in case additional time was needed.

Meeting ended at 8.35 pm

CHAIR:

DATED: